

ECON 300 – Labour Economics
Sample Final Exam

MULTIPLE CHOICE - Choose the one alternative that best completes the statement or answers the question.

- 1) All of the following are sources of concern with income maintenance programs except that:
 - A) They might reduce wages.
 - B) They might reduce work incentives.
 - C) They might be fiscally costly.
 - D) They might increase wages.
 - E) They might lower employment.

- 2) All of the following describe a demogrant except:
 - A) an income grant to a specific demographic group
 - B) the simplest income maintenance program
 - C) A grant whose amount varies with the worker's wage
 - D) a lump-sum transfer
 - E) That it shifts the potential income constraint vertically upward

- 3) For which of the following programs does the recipient receive a supplement from the government for each hour worked?
 - A) A wage subsidy program
 - B) A negative income tax program
 - C) A work-sharing program
 - D) An unemployment insurance program
 - E) Guaranteed Income Supplement

- 4) The short-run demand curve slopes downward because:
 - A) The labour supply curve slopes upward
 - B) of the law of diminishing marginal returns to labour
 - C) As employment levels increase, firms are forced to employ workers of lower quality
 - D) Of the law of diminishing marginal utility
 - E) Of the wage elasticity of labour demand

- 5) The figures below give the production schedule and the product demand schedule for a firm, which has to decide how many workers to hire.

If the wage = \$40 for the time period in question, then the number of workers hired is:

Workers hired	Total Physical Product	Price of output
0	0	\$10
1	10	\$10
2	18	\$10
3	25	\$10
4	30	\$10
5	34	\$10
6	37	\$10

- A) 2
 - B) 3
 - C) 4
 - D) 5
 - E) 6
- 6) Assume that the wage elasticity of labour demand is inelastic. Which of the following statements is true?
- A) If the wage increases, then the total payroll, or wage bill, decreases.
 - B) If the wage increases, the quantity demanded of labour increases.
 - C) If the wage increases, the labour demand curve will shift to the left.
 - D) If the wage decreases, the labour demand curve will shift to the right.
 - E) If the wage increases, there is no change in quantity demanded
- 7) Which of the following statements regarding the demand for labour is false?
- A) If a firm is a monopolist in the product market, the firm's demand for labour is the same as the industry's demand for labour.
 - B) If a firm is a monopolist in the product market, the firm's demand curve is more elastic than it would be if the firm were operating in a perfectly competitive product market.
 - C) If a firm is a monopolist in the product market, it may or may not pay wages which are higher than the case in which the firm operates in a competitive output market.
 - D) If a firm is a monopolist in the product market, it may still behave as a wage taker in the labour market.
 - E) If the firm is a monopolist in the product market, the firm's demand curve is steeper than it would be if the firm were operating in a perfectly competitive product market.

- 8) Under what conditions might one expect wages to be above the prevailing competitive levels?
- A) Only when unemployment is low
 - B) only in the case where a union exists
 - C) Only when there is a shortage of labour
 - D) only in cases in which the employer has market power in the labour market
 - E) in cases in which the employer is a monopolist, an oligopolist, or a monopolistic competitor in the output market
- 9) If an employer is competitive in the labour market:
- A) It has to pay at least the going wage.
 - B) It can pay at most the going wage.
 - C) The wage level depends on the structure of the product market.
 - D) It can affect the going market wage by either hiring many workers or laying off many workers.
 - E) It can pay less than the market equilibrium wage.
- 10) Consider the diagram for a labour market in which the relevant job attribute is the stability of the hours (increasing from left to right). In other words, less stable jobs are characterized by irregular hours, with no guarantee of a full time job, but with the possibility of overtime hours some weeks. What would the curves look like?
- A) The model cannot be used for this situation
 - B) Negatively sloped iso-profit curves and positively sloped iso-utility curves
 - C) Positively sloped iso-profit and iso-utility curves
 - D) Negatively sloped iso-profit and iso-utility curves
 - E) Positively sloped iso-profit curves and negatively sloped iso-utility curves
- 11) Consider the diagram for a labour market in which the relevant job attribute is job safety (increasing from left to right). Why are the iso-profit curves concave, i.e., bowed in towards the origin?
- A) Because a firm's profit decreases if it provides a safer environment for the workers.
 - B) Because paying higher wages and providing a safer environment for the workers are both costly for the employer.
 - C) Because the marginal rate of transformation between wages and safety is increasing as a firm introduces stronger safety procedures.
 - D) Because there is a negative trade-off between job safety and wages
 - E) Because the marginal rate of transformation between wages and safety is decreasing as a firm introduces stronger safety procedures.

- 12) Which of the following statements does not pertain to wage structures?
- A) The wage premiums that compensate workers for working jobs with undesirable characteristics
 - B) The relative prices of labour that are utilized in order to allocate labour to its most efficient use
 - C) The relative prices of labour that are used to remunerate skills and ability
 - D) The lowest wage levels at which workers will accept jobs having certain attributes
 - E) None of the answer choices are correct.
- 13) How do employers typically finance training their workforce?
- A) By paying workers a wage which is greater than the value of the marginal product during the early stages of the employment relationship.
 - B) By paying workers a wage which is lower than the value of the marginal product during the later stages of the employment relationship.
 - C) By charging the new employee/trainees an upfront, out-of-pocket fee.
 - D) By paying workers a wage which is greater than the value of the marginal product during the later stages of the employment relationship.
 - E) By paying workers a wage which is lower than the value of the marginal product during the early stages of the employment relationship.
- 14) According to the signaling theory of education,
- A) The level of education or training directly measures the productivity of the worker.
 - B) The level of education or training of one worker affects the productivity of her coworkers.
 - C) Education and training function as utility-generating goods from the worker's perspective.
 - D) Education and training do not contribute directly to productivity, but act as a filter to screen candidates.
 - E) The social rate of return to education is greater than the private rate of return.
- 15) The essence of human capital theory is that:
- A) Firms spend money on their capital stock and equipment in order for labour to become more productive.
 - B) Investments are made in human resources so as to improve their productivity and, therefore, their earnings.
 - C) All workers who want to increase their salary should obtain a university diploma.
 - D) Workers invested in higher education in order to send a signal to potential employers regarding their underlying ability.
 - E) Education and training do not contribute directly to productivity, but act as a filter to screen candidates.

- 16) The two primary "levers" that immigration policymakers can manipulate are:
- A) the number of immigrants that are admitted and the conditions they have to meet for admissibility.
 - B) the fees that are charged to applicants and the number of immigrants that are admitted.
 - C) the fees that are charged to applicants and the conditions they have to meet for eligibility.
 - D) the number of immigrants that are admitted and the number of applications that are evaluated.
 - E) The application of strict quotas
- 17) All of the following are motivations for allowing incoming immigration, with the exception of:
- A) humanitarian concerns relating to the applicant.
 - B) The utilization of specific labour market skills that immigrants might have.
 - C) family reunification.
 - D) Attaining population growth
 - E) Increasing government revenues
- 18) Assessed classes of immigrants are those who are:
- A) evaluated on the basis of their likely contribution and success in the labour market.
 - B) awarded a grant in order to start a new life in Canada.
 - C) evaluated on the basis of their financial net worth prior to being admitted into Canada.
 - D) evaluated on the gravity of their human rights situation in their home countries
 - E) evaluated on the basis of their financial background.
- 19) Which of the following policies to combat labour market discrimination is likely to have the most far-reaching impact?
- A) conventional equal pay policies
 - B) comparable worth or pay equity
 - C) equal employment opportunity legislation
 - D) facilitating policies
 - E) employment equity legislation

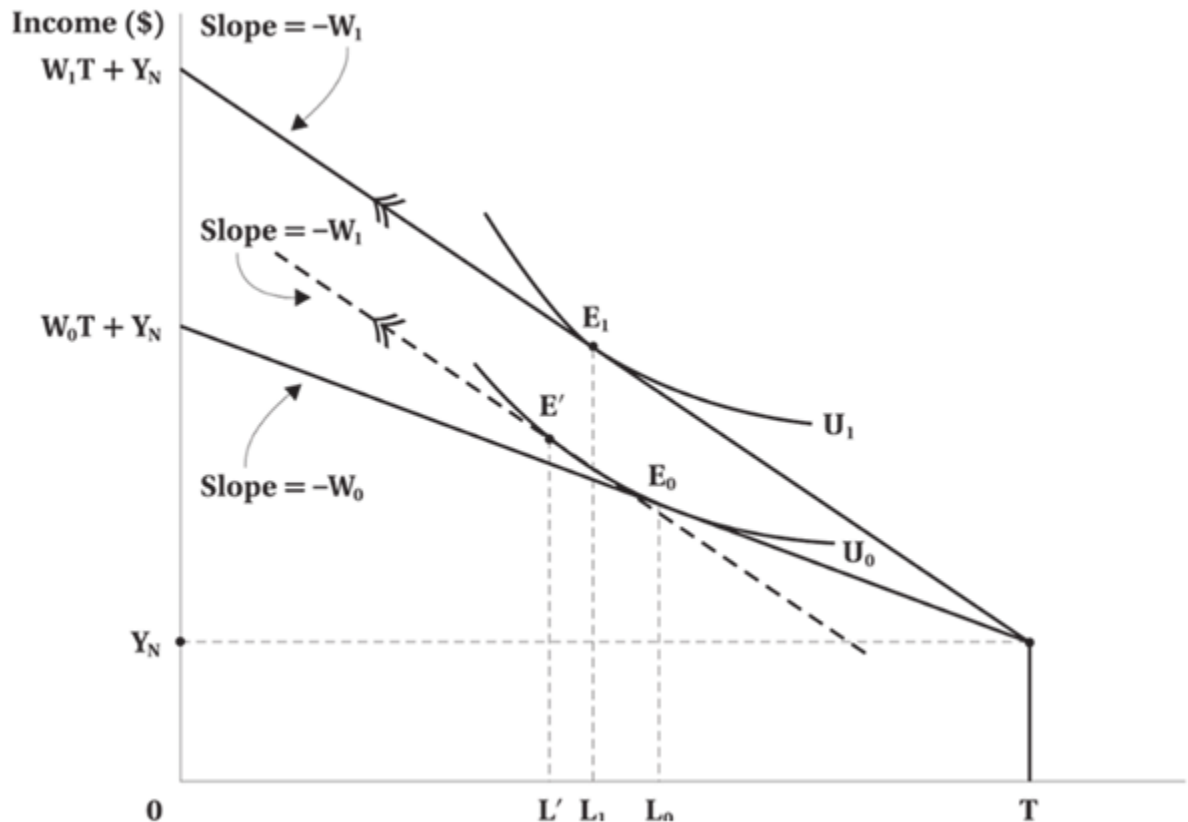
- 20) In the context of anti-discrimination policy, what is meant by the term administrative concept of value?
- A) A worker's value is evaluated by the administrators to whom he or she reports.
 - B) A worker's value is determined by his or her own marginal product of labour in the labour market.
 - C) A worker's value is determined by the average value of his/her wage determining features, such as skill, effort, responsibility, and working conditions.
 - D) A worker's value is determined by supply and demand forces.
 - E) A worker's value is determined by his/her own assessment, assuming that it is done reasonably.
- 21) It is thought that the most important source of labour market discrimination facing women is that:
- A) Women are often segregated into low-wage establishments and industries.
 - B) White collar women reach the glass ceiling.
 - C) Women on average do not have the same levels of productive characteristics as men.
 - D) In many cases, women are not receiving equal pay for equal work.
 - E) None of the choices are correct.
- 22) The labour force participation rate gives the ratio of the:
- A) Working-age population that is either employed or is seeking work.
 - B) labour force to the employment level.
 - C) working age population that is employed vs. unemployed.
 - D) working age population that is seeking work vs. those not seeking work.
 - E) employed workers to the size of the labour force.
- 23) The unemployment rate is expressed as:
- A) the fraction of the working-age population that is unemployed.
 - B) the number of jobless workers divided by the size of the labour force.
 - C) the number of unemployed workers divided by the number of employed workers.
 - D) one minus the fraction of the working-age population that is employed.
 - E) the number of unemployed workers divided by the size of the labour force.

24) "Hidden unemployment" refers to situations in which workers are:

- A) unemployed but not collecting unemployment insurance benefits, and are thus not counted as officially unemployed.
- B) working fewer hours than they desire to work, and these hours of unemployment are not counted towards the calculation of the official unemployment rate.
- C) jobless and become so discouraged that they drop out of the labour force.
- D) unemployed and are actively seeking work, but are missed by surveyors from Statistics Canada.
- E) unemployed and actively seeking work but could not find any employment before their unemployment insurance benefits run out.

SECTION BREAK. Answer all the part questions.

25) The figure below pertains to questions 2.1, 2.2, and 2.3.



25.1) Given a wage increase from W_0 to W_1 , the distance between L' and L_1 represents:

- A) The substitution effect
- B) The income effect
- C) The combined effect of both the substitution effect and the income effect
- D) The equilibrium choice for hours worked
- E) The equilibrium choice for leisure

- 25.2) Given a wage increase from W_0 to W_1 , the distance between L' and L_0 represents:
- A) The substitution effect
 - B) The income effect
 - C) The combined effect of both the substitution effect and the income effect
 - D) The equilibrium choice for hours worked
 - E) The equilibrium choice for leisure
- 25.3) Given a wage increase from W_0 to W_1 , the distance between I_1 and I_0 represents:
- A) The substitution effect
 - B) The income effect
 - C) The combined effect of both the substitution effect and the income effect
 - D) The equilibrium choice for hours worked
 - E) The equilibrium choice for leisure

Answer Key

Test name: Practice Final Exam

- 1) A
- 2) C
- 3) A
- 4) B
- 5) D
- 6) A
- 7) B
- 8) E
- 9) A
- 10) D
- 11) E
- 12) C
- 13) E
- 14) D
- 15) B
- 16) A
- 17) E
- 18) A
- 19) B
- 20) C
- 21) A
- 22) C
- 23) E
- 24) C
- 25) Section Break
- 25.1) B
- 25.2) A
- 25.3) C